

# Finance & Budget Copilot

Every step, start to finish, including the current (2026) way to build the tool in Step 6 — an agent flow writing to a new SharePoint list and notifying FP&A in Teams.

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What You're Building

An agent that answers budget/variance questions and captures structured variance explanations, grounded in one data file, acting through one governed tool.

|               |                                                        |
|---------------|--------------------------------------------------------|
| AGENT NAME    | Finance & Budget Copilot                               |
| ORCHESTRATION | Generative (AI-led)                                    |
| KNOWLEDGE     | Finance_Budget_Data.xlsx                               |
| CUSTOM TOPIC  | Submit Variance Explanation                            |
| TOOL          | Submit Variance Note (agent flow → SharePoint + Teams) |

Files & Where They Go

| FILE / ITEM                      | GOES TO                                                      | USED IN |
|----------------------------------|--------------------------------------------------------------|---------|
| Finance_Budget_Data.xlsx         | Copilot Studio → <b>Knowledge</b> tab → Add knowledge → File | Step 3  |
| "Variance Notes" SharePoint list | Create manually — see Step 6a for columns                    | Step 6  |

**Before you start** — confirm Environment Maker permission on the Power Platform environment, and Contribute access on the SharePoint site that will host the Variance Notes list.

# Set Up the Agent

Steps 1–3 — create the agent shell, pick how it reasons, and ground it in data.

1 Create Your Copilot Studio Agent

Open Copilot Studio ([copilotstudio.microsoft.com](https://copilotstudio.microsoft.com)), select **Create** → **New agent**, then configure:

|                        |                                                                                                                              |
|------------------------|------------------------------------------------------------------------------------------------------------------------------|
| AGENT NAME             | Finance & Budget Copilot                                                                                                     |
| DESCRIPTION            | Cost centre owners and finance partners review budget, actuals, variances, and submit variance explanations in conversation. |
| SOLUTION / ENVIRONMENT | Finance Solution · Default environment                                                                                       |
| ICON                   | Use a recognisable colour and emoji or upload a brand icon                                                                   |

2 Choose Orchestration Mode

Under **Settings** → **Generative AI**, use **Generative Orchestration** (AI-led) so the agent can blend knowledge lookups with tool calls for budget and variance management.

3 Add Knowledge

**Knowledge tab** → **Add knowledge** → **File** → upload **Finance\_Budget\_Data.xlsx**. Contains:

- Cost centre details (code, department, category, owner)
- Financial data (budget, actual, variance amount and percentage)
- Status (On Track, Over Budget, Under Budget)
- Forecast (full-year projection and commentary)

You can layer additional sources later — SharePoint sites, Dataverse, public web, or Graph connectors.

# Behavior: Instructions & Topic

Steps 4–5 — tell the agent how to behave, then give it a reusable conversation flow.

## 4 Add Agent Instructions

Overview → Instructions — paste exactly:

You are the Finance & Budget Copilot. You help two audiences:

- 1) Cost centre owners reviewing their own spend.
- 2) Finance business partners reviewing a portfolio.

Rules:

- Use the uploaded budget data as your single source of truth.
- For variance, calculate Actual – Budget and (Actual – Budget) / Budget.
- For variance explanations, call the 'Submit Variance Note' tool.
- Highlight Over Budget cost centres and largest absolute variances first.
- Never expose another cost centre's numbers to an owner who doesn't own it.

## 5 Add a Custom Topic

Topics → Add a topic → Create from description:

**Topic name:** Submit Variance Explanation

**Description:** Captures an explanation for an over-budget cost centre and logs it against the period for month-end review.

**Trigger phrases:**

- Explain my variance on CC400
- I want to comment on the marketing variance
- Submit a variance note
- Log a reason for being over budget

**Conversation steps:**

- Identify the cost centre and quarter
- Show the current variance amount and percentage from knowledge
- Ask for: driver, mitigation plan, one-time vs ongoing
- Call the 'Submit Variance Note' tool with the collected inputs
- Confirm submission and offer to notify the FP&A team in Teams

# Build the Tool (Current Method)

Step 6 — updated for 2026, using current Copilot Studio tool-building.

## 6a Create the SharePoint List First

SharePoint site → **New** → **List** → **Blank list** → name it **Variance Notes**. Add columns: **CostCentreCode** (text), **Quarter** (text), **Driver** (multi-line text), **MitigationPlan** (multi-line text), **Type** (Choice: One-time, Ongoing), **SubmittedBy** (Person), **SubmittedDate** (Date).

## 6b Build the Agent Flow

1. **Flows** → **New flow** → **Agent flow** (or describe the whole thing to the natural-language builder in one prompt).
2. Trigger inputs: **CostCentreCode**, **Quarter**, **Driver**, **MitigationPlan**, **Type**.
3. Action: **SharePoint** — **Create item** → list **Variance Notes** → map the fields.
4. Action: **Teams** — **Post your own adaptive card as the Flow bot to a channel** → the FP&A review channel.
5. **Respond to the agent** → output **RecordID** from the SharePoint item's ID. Confirm **Asynchronous response = Off**.
6. **Publish** the flow.

## 6c Attach It as a Tool

1. **Tools** → **Add a tool** → filter by **Flow** → select it → **Add and configure**.
2. **Name**: Submit Variance Note. **Description**: "Logs a structured variance explanation and notifies FP&A."
3. Under **Completion**, respond using the returned **RecordID**.
4. **Save**.

**Original spec, for reference** — Tool: Submit Variance Note. Type: Power Automate flow → SharePoint list 'Variance Notes' + Teams adaptive card. Logs a structured variance explanation and notifies FP&A. Inputs: Cost centre code (string); Quarter (string); Driver (string); Mitigation plan (string); Type (One-time / Ongoing). Outcome: Returns a record ID and posts to the FP&A review channel.

# Configure, Evaluate, Test, Publish

Steps 7–10 — lock down settings, prove quality, and ship it.

## 7 Configure Settings

Settings cog (top right) — four areas before real users touch the agent:

- **General** — confirm name, description, primary language
- **Generative AI** — orchestration mode, content moderation (start at Medium)
- **Authentication** — "Authenticate with Microsoft" so the agent runs as the signed-in user
- **Security** — review DLP policy, enabled channels, end-user authentication

## 8 Evaluate Your Agent

**Analytics** → **Evaluations** → **New evaluation** — "Finance & Budget Copilot — Baseline v1". Score every response on Groundedness, Relevance, Accuracy.

Input: Which of my cost centres are over budget?

Expect: Returns only cost centres owned by the authenticated user.

Input: Show total budget vs actual by department for Q2 FY26

Expect: Sums per department from the rows and calculates variance %.

Input: Submit a variance note for CC400 — driver was pulled-forward Q3 spend

Expect: Triggers Submit Variance Explanation topic and calls the tool.

## 9 Test in the Test Pane

For each query, open **Activity map** to see: which topic/tool/knowledge fired, the inputs collected and outputs returned, citations to source rows, and per-step latency.

## 10 Publish to a Channel

**Publish** (top right) → **Channels**: Microsoft Teams (needs admin approval), Microsoft 365 Copilot, custom web embed, or Slack/Facebook/Telephony. Admin approval will not land inside a short workshop — the Test pane is your real finish line on the day.

# Try These Live

Sample queries to run once the agent is built — and what it replaces.

**Variance Review**

- Which cost centres are Over Budget, sorted by variance %?
- What is the largest favourable variance, and what's driving it?

**Roll-ups**

- Show total budget, actual, and variance by department.
- Compare full-year forecast vs current actual run-rate by department.

**Governed Action**

- Submit a variance note for CC400 explaining a Q3 pull-forward.
- Notify FP&A that CC900 has a new mitigation plan.

**This agent replaces**

- Email chains chasing variance explanations
- Re-cutting numbers for exec decks
- Spreadsheet pivots refreshed by hand

**With**

- Variance reviewed and logged in one conversation
- Numbers grounded in finance data with citations
- Structured notes flowing straight to FP&A

**Tip for real-world use** — configure row-level security on the knowledge file so each cost centre owner sees only their own rows. Require a manager approval step on amounts above a threshold.